

Section III: State Agency Procedure Manual

I. State Vendor and Farmer Management

B. Retailer Authorization Process

Purpose

Ensure standard criteria is used to evaluate retailer applications for WIC Program authorization and provide adequate access for participants to redeem food benefits.

Policy

Retailers must meet the following criteria to be authorized by the Montana WIC Program. All selection criteria must be maintained through the term of the agreement and may be reassessed by the program at any time. This list is not fully inclusive, please refer to the Vendor Agreement and Retailer Reference Manual for all program requirements. Retailers applying for authorization must meet specific criteria to ensure effective program management. These standards will be used to review retailer applications and renewals.

1. Criteria to Become a WIC Authorized Retailer:

- Have a Point-of-Sale (POS) system capable of conducting eWIC transactions, this system must:
 - Be able to download the Approved Product List (APL), and be capable of:
 - Preventing unauthorized food item purchases.
 - Preventing the purchase of approved food items not available on card balance.
 - Provide all transaction receipts (beginning balance, purchased items, and remaining balance).
 - Meet minimum lane coverage requirements.
 - Will not charge the WIC Program any third-party processing fees, interchange fees, or ongoing maintenance and operational costs.
 - Maintain compliance with operating rules, standards, and technical requirements.
- Within the last six (6) years, neither the business nor any of its owners, officers or managers has been convicted of or had a civil judgment entered against them for any activity indicating a lack of business integrity.
- An owner, officer, or partner of a retailer must not have bought or sold a store to avoid a WIC sanction.
- Is SNAP authorized (Supplemental Nutrition Assistance Program, formerly known as Food Stamps),
 - Vendors must not be in a current disqualification of SNAP or have been issued a Civil Money Penalty in lieu of disqualification.
- Always maintain the minimum food stock required by the Montana WIC Program.
- Purchase infant formula only from the Montana WIC Program's approved Formula Wholesaler/Distributor/Retailer/Manufacturer list to ensure safety of the products.

- Meet and maintain Competitive Price Selection Criteria (CPSC) requirements.
 - CPSC is a price level retailer applicants must meet to be eligible for the WIC Program and maintain throughout the term of their agreement.
 - The CPSC is based on average food prices grouped into a market basket price and is specific to each peer group.
 - Retailers CPSC is re-evaluated six months after initial authorization, and statewide CPSC market basket prices are re-calculated every six months.
 - If a retailer's market basket price exceeds that of the retailer's assigned peer group, the retailer may be authorized by the MT WIC Program if the vendor is needed for participant access.
- Agree to accept payment for food prices for no more than the Not-To-Exceed (NTE) price set for each food item.
 - WIC is federally required to enforce maximum price reimbursements for approved foods as a cost containment measure. These amounts are considered the Not-To-Exceed (NTE) price. When a retailer submits a price greater than the NTE, the state's EBT processor adjusts the reimbursement to that NTE.
 - WIC NTE prices are calculated by averaging claim prices per food item (excluding fresh produce). Recalculations occur weekly, and a standard deviation of 2 is added to the average to create the NTE. Items must have at least 10 claims in the last 90 days to be included in the recalculation. If an item's NTE increases or decreases significantly, the new NTE must be manually approved by WIC staff. The WIC Program reviews its competitive cost system (NTE calculations & peer group placement) every three years.
 - WIC organizes retailers by size and geographic designation into peer groups, which are used to calculate the NTE amounts. The NTE calculation system and criteria used for peer group placement are reviewed at least every three years.
 - In the event of a suspected vendor overcharge or payment error, and the vendor has committed a program violation, the WIC Program may delay payment or establish a claim in the amount of the overcharge or error. The vendor will have the opportunity to correct the issue, and the WIC Program must take-action on a questionable payment within 120 days of occurrence. Denying payment or initiating a claim must occur within 90 days of the violation or completion of the review, whichever is later.
 - The WIC Program will not pay retailers for transactions that occur after the specified period for benefit redemption for values over \$500 without first notifying USDA FNS.
- May not be a 'WIC-Only' store (sell only WIC-approved foods to WIC participants).
- May not be a 'Above-50-percent' store (stores that make more than 50 percent of their annual sales from WIC purchases).
 - Montana WIC will continue to evaluate stores on the program to determine if they become an 'Above-50-percent' store and disqualify any stores who become 'Above 50%.
- Meet and maintain Produce Mapping requirements
 - Mapping is the process of matching UPCs of packaged fresh fruits and vegetables to Price Lookup Codes (PLU) for bulk produce on the Montana WIC Approved Product List (APL) in a store's Point of Sale (POS) system.
 - All fresh fruits and vegetables rung up with a barcode, including pre-cut and packaged items by the retailer should be mapped.

Montana WIC will not authorize a vendor if a potential or real conflict of interest has been

identified by WIC staff.

2. Criteria Waiver Based on Participant Access Determination

- In areas where WIC participants have limited access to WIC authorized retailers, some selection criteria may be waived, at the program's discretion, based on a participant access determination.
 - In WIC service areas where the total population is greater than 3,000, participant access may be considered inadequate if any of the following conditions apply:
 - A retailer density of less than 1 store per 200 WIC participants.
 - WIC participants must travel more than 2 miles to the nearest WIC authorized retailer.
 - Other conditions exist which makes a retailer located within 2 miles difficult to access.
 - In WIC service areas where the total population is less than 3,000, participant access may be considered inadequate if any of the following conditions apply: There are no vendors in the area.
 - Participants must travel more than thirty miles to an authorized retailer.
 - Other conditions exist which makes an authorized vendor within 30 miles difficult to access.
- If a retailer applying to the program is in an area with participant access issues and does not currently have a POS capable of conducting eWIC transactions, a single-function POS terminal may be provided by the State.
- If a retailer applying to the program is currently disqualified from SNAP or has been assessed a SNAP Civil Money Penalty (CMP) for hardship, this criteria may be waived if the vendor is needed for participant access.
- Within the last six years, if a retailer applicant or any of its owners, officers or managers were convicted of crimes demonstrating a lack of business integrity or had civil judgement entered against them, this criteria may be waived if the vendor is needed for participant access.
- No waivers will be made for vendor applicants that do not meet the minimum requirements for stocking of approved foods.

3. Application for Retailer Authorization

- Initial applications are accepted on an ongoing basis.
- Applications may be requested from the State WIC Office vendor management staff.
 - An initial screening of the retailer will be completed to ensure the selection criteria are met; this may include:
 - Consultation with the local agency in the retailer's region.
 - Assurance that the retailer has the capability to process eWIC transactions (retailer is responsible to confirm with POS provider).
 - The MT WIC Program will provide an X9 number to the retailer for their set up with the POS and Third-Party Processor (TPP).
 - A paper or electronic application will be sent to the retailer for completion and the local agency in the area will be notified by the State office of the application status.
- Retailer will complete and submit the application which will be processed within 60 days of receipt.
- If the retailer does not meet the criteria for approval, a letter describing the ineligibility will be mailed.

4. Pre-authorization Visit and Inspection

- The initial visit to the store by Local Agency Retail Coordinators (LARCs) is to verify that the required WIC food variety and quantity is in stock, and to conduct a test-buy that verifies the retailer's Point of Sale (POS) can conduct eWIC transactions. WIC staff will also check that dates on foods are not expired, overall cleanliness, and provide the retailer with interactive training on WIC policies and procedures. This visit is arranged after the WIC program receives verification from the retailer that their POS system has been successfully set up to conduct eWIC transactions and a balance inquiry has been completed in the EBT processor's transaction records. The pre-authorization test buy will include:
 - Verification that all required receipts are produced (available balance, purchase verification, purchase approved, remaining balance).
 - Authorized WIC item & unauthorized WIC item.
 - Authorized fresh produce UPC mapping to comparable PLU.
 - Authorized item that exceeds available balance.
 - Paying the difference on a CVB purchase.
 - Processing a Not to Exceed (NTE) price adjustment.
- The report from the pre-authorization inspection visit will be sent to the Montana WIC Program for review. If the report indicates any issues, such as required quantities and variety of WIC foods out of stock, or problems during the test-buy, the retailer will need to provide verification that the issues have been corrected before the store will be authorized.
- Approved stores will be sent a WIC Vendor Agreement which must be signed and returned. The agreement will have a maximum of 3 years; but may be shorter to align the retailer's contract period with the federal fiscal year calendar.

5. Preauthorization Interactive Training Requirements

The Montana WIC Program will provide training in an interactive format before or at the time of a new vendor's initial authorization. This training will cover all topics required in annual training for authorized vendors and will provide vendors the opportunity to ask questions and receive immediate answers.

- Interactive training will be provided in person and on-site as the priority.
- If on-site interactive training is not available alternative means will be provided to ensure that the required topics are covered, and the retailer is afforded the opportunity to ask questions and receive immediate answers. Alternative means include, but are not limited to, over the phone training, or a web-based platform. Over the phone training is considered the training of last resort.
- Vendors will be provided with at least one alternative date on which to attend an interactive training.
- In all cases interactive training will be documented to verify the time and date the training was provided, the format provided, and the required topics covered, as well as retailer questions and responses. Both the retailer and the trainer will sign and date the documentation form and this will be included in the retailer's file at the WIC State Office. A copy of the signed documentation form will be provided to the retailer as well.
- Completion of this training will be documented on the Vendor Preauthorization Monitoring

Form.

- This training will be provided by the Local Agency Retail Coordinator (LARC) for the local WIC agency supporting the retailer.
- WIC state agency staff will provide backup support as needed.

6. Initial Retailer Authorization Process

- Authorized retailers will be assigned to a Peer Group based on criteria established by the program to ensure competitive pricing and reimbursement.
 - Peer group placement will be re-evaluated and assigned at reauthorization and as needed when criteria or circumstances change.
 - Peer group placement will determine the allowable reimbursement for WIC approved items based on average prices and an automatic range determined by the Program.
- Upon authorization the retailer will receive an acceptance letter notifying them they are an authorized WIC retailer and what Peer Group they are placed in. The retailer will also receive the following items:
 - “We Accept WIC Benefits” signs (to be posted in a visible location near all entrances of the business).
 - Additional copies of the “WIC Approved Food List” (in sufficient quantities to place one at each check stand).
 - A copy of the Montana WIC Program Retailer Reference Manual.
- Once the retailer is authorized to process eWIC transactions, they are responsible for training their staff on eWIC procedures.
- In the case where agreements are signed at the corporate headquarters, a copy of the signed agreement may be sent to the store’s manager for their records.
- The State will notify the local agency that the retailer has been authorized to participate in the WIC Program and the local agency will notify their participants that they may redeem benefits at this retailer. The State will add this retailer to their list of authorized WIC retailers.
- The new retailer will be reassessed six months after authorization to determine if they are an ‘above-50-percent’ retailer.
 - Once the assessment is completed a letter will be sent to the retailer notifying them of their status. Copies of this letter are retained at the State WIC Office and a copy is sent to the Local Agency in the retailer’s area.

7. Process for Authorization Renewals

- The WIC State Vendor staff annually review retailer files due to expire and will send out renewal notices for all retailers with agreements expiring that fiscal year at least six months prior to their agreement expiring.
- Renewal notices are mailed annually inviting retailers to renew.
 - If the retailer chooses to renew their agreement the renewal application must be returned to the WIC State office at least sixty (60) days before their agreement expires to allow enough time to route the renewal agreement for signature.
- In addition to maintaining the standards for the initial application, an applicant must also meet the following standards to apply for renewal of their WIC authorization:
 - Has attended all required WIC trainings.
 - Has successfully resolved all problems brought to their attention by the WIC Program

within a sixty (60) day period.

- Has not been disqualified from SNAP or been charged for embezzlement by SNAP.
- Retailers applying for renewal authorization must apply within the required timeline. This ensures that they maintain their current authorization.
 - If the authorization lapses, an initial application must be submitted.
- A retailer is not obligated to apply for renewed WIC authorization. A retailer may withdraw from the WIC Program at any time by contacting State WIC staff.
- The Montana WIC Program is not obligated to offer a retailer a renewed vendor agreement.

8. Change of Ownership

- The authority to participate in the Montana WIC Program is non-transferable. The Montana WIC Program must be notified in writing of any change of ownership. A change of ownership may be, but is not limited to:
 - A partial change of ownership (i.e., one partner buying out another).
 - A complete change of ownership (i.e., an outside interest purchases the business).
 - A change in corporate structure (i.e., going from 'sole proprietor' to 'corporation').
- Whenever the Federal Employer Identification Number (FEIN) changes, the retailer must re-apply for WIC authorization as an initial applicant. Failure to do so will result in loss of WIC authorization. If it is determined that a business was sold to circumvent a WIC sanction after authorization is approved, the authorization (WIC Agreement) will be terminated.

9. Change of Location

- A change of location may affect WIC authorization. The Montana WIC Program must be notified in writing of any change of location. Authorization will not be affected if:
 - The ownership remains the same. The old location is being closed, and the new location is considered a 'replacement' location.
 - The new location is within a short distance of the old location.
 - Failure to notify the Montana WIC Program of a change in location may result in loss of WIC authorization.

10. Change of SNAP Authorization

- If a WIC authorized retailer's SNAP authorization changes at any time during the WIC agreement, the Montana WIC Program must be notified either verbally or in writing and provided with an updated FNS number.